

Multinationals are unlikely to have a play in snacks. “The interesting part in foods, unlike personal products, is [that there is] very little advertising. You have to get it right on consistency and be local when it comes to your thinking,” he says. In August, the company opened its new research and innovation centre in Bengaluru for food products, starting with snacks. “We think we have got it right on the product and will be test marketing by the end of this year,” says Agrawal.

The brand name is still under wraps, but Wipro plans to start with a product portfolio. “It will be contract manufacturing initially, but the formulation is ours. Besides, our people will be sitting in the factories and monitoring quality,” says Agrawal, adding, south India’s snacks business alone will be ₹25,000 crore. “That’s almost as large as the toilet soap market in India.”

In spices, the approach is different. Agrawal says Wipro’s strategy will be inorganic. The pur-

> But it is still a long way behind the sector biggies like HUL and Adani Wilmar



#ITC SPLITS ITS FMCG SEGMENT INTO FMCG CIGARETTES AND FMCG OTHERS; SOURCE ANNUAL REPORTS

“Snacking is a highly fragmented business in south India. Those like A2B, Grand Sweets and Sri Krishna have their stores and sell the products there. It is similar to a kiosk model”



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chase of Kerala-headquartered Nirapara and Brahmins has given it a foothold in the state. Its rivals had done the same thing. ITC bought Sunrise Foods, while Dabur picked a majority stake in Badshah Masala. “Tastes vary significantly across India, and it is a state-wise phenomenon.”

Sanjeev Shah, CMD of Everest Food Products, a market leader with an eponymous brand, says India’s diverse tastes make it an interesting place. “The moment you play in the ethnic area, it is a challenge but also a huge opportunity. When you get it right here, the upside is significant,” he explains.

So how regional will Wipro get? Well, regional does not just mean south India versus north India. Think Southeast Asia. Think developed versus developing.

Premji gives the big picture: Wipro Consumer gets its strength from the developing economies, which are poised to grow faster than the developed world.

“FMCG will especially grow well in developing markets as per capita consumption is currently low. We can see this happening in India, Indonesia, Vietnam, and Philippines. India in particular is growing fast as the economy is also getting formalised. This scenario offers us a tremendous opportunity to establish ourselves as a significant player in the FMCG sector, both domestically and at the global stage,” Premji says. **BT**

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